

without rendering himself responsible in the *forum* of a Court of equity.

2. **General rule as to powers of trustees in simple trusts.** — With respect to the *simple* trust, as the trustee is a mere

75 Ga. 130; especially for the support of the trustee; *Hamilton v. Insurance Co.* 3 Tenn. Ch. 124; court cannot direct trustee to mortgage trust property; *U. S. Trust Co. v. Roche*, 41 Hun, 549; mortgage to pay debts allowed; *Pike v. Baldwin*, 68 Ia. 263.

Discretionary powers. — They will not be interfered with by the courts, unless they are abused; *Cromie v. Bull*, 81 Ky. 646; *Ames v. Scudder*, 11 Mo. App. 168; or controlled, except good faith is absent; *Bacon v. Bacon*, 55 Vt. 243; a trustee may be given unlimited discretion to change the nature of the trust property; *Christian v. Worsham*, 78 Va. 100. Equity may not have jurisdiction of a discretionary power; *Young v. Young*, 97 N. C. 132. If a trustee is allowed to exercise his best judgment, his powers are very broad; *Veazie v. Forsaith*, 76 Me. 172; *Heard v. Sill*, 26 Ga. 302.

Compromise by trustee. — A compromise, if for good and sufficient cause, will be sustained; *Pool v. Dial*, 10 S. C. 440; *Clarke v. Cordis*, 4 Allen, 466; *Mayer v. Foulkrod*, 4 Wash. 349; it must be such a compromise as a court would sanction; *Bacot v. Heyward*, 5 S. C. 441; a trustee cannot discharge liens to the prejudice of the cestui que trust; *Perkins v. Dyer*, 6 Ga. 401; may submit to arbitration; *Clark v. Cordis*, 4 Allen, 466.

Various powers. — A trustee may not give trust property as security for money borrowed for his own use; *Brewster v. Galloway*, 4 Lea, Tenn. 558. Power to "sell and dispose" is broad enough to cover a mortgage; *Waterman v. Baldwin*, 68 Ia. 255. Power to trustee to rent and pay rents does not include any further interest in lands; *Hicks v. Bullock*, 96 N. C. 164. Trustee selling for nominal consideration is in violation of trust, and there is only a gift deed, the donee becoming a trustee for the original cestui que trust; *Everett v. Railway*, 67 Tex. 430. The trust, by limitations in the declaration, cannot be bound for certain debts; *Pracht v. Lange*, 81 Va. 712. A trustee may, upon citation and hearing, get power to purchase so that the transaction will be binding; *Scholle v. Scholle*, 101 N. Y. 167; *Carson v. Marshall*, 37 N. J. Eq. 213; a trustee may purchase at a judicial sale, not controlled by himself, if he acts in good faith; *Lusk's App.* 108 Pa. St. 152; *Baker v. Springfield, &c., R. R. Co.* 86 Mo. 75. A trustee holding for one, with remainder to his children, cannot under power to sell, bind the children by an agreement to lease; *Bergengren v. Aldrich*, 139 Mass. 259. A trustee has power to defend the trust estate; *Geissler v. Werner*, 3 Dema. 200; if the trustee becomes insane he can do nothing; *Bailey v. Hill*, 77 Va. 492; where, in deed of trust, a conveyance at request of cestui que trust might be made, a conveyance by trustee after death of cestui que trust was void; *Bradstreet v. Kinsella*, 76 Mo. 63. One holding mortgaged land as trust cannot buy at or after foreclosure sale and acquire an interest hostile to the cestui que trust; *Toole v. McKiernan*, 48 N. Y. Sup'r Ct. 163. A trustee cannot apply the trust fund to a debt claimed by him to be due him from the cestui que trust, especially if it is disputed; *Terry v. Bale*, 1 Dema. 452. A power to sell and exchange does not allow the trustee to raise any charge upon the estate; *Hewitt v. Phelps*, 105 U. S. 393. In reference to the Statute of Limitations, see *Smith v. Drake*, 23 N. J. Eq. 302; *Hubbell v. Medbury*, 53 N. Y. 98; *Carr v. Houser*, 46 Ga. 477; *Patten v. Pearson*, 60 Me. 220.